

Bain case: Asian lubricants producer

Topic

Growth strategy
Market analysis
Market entry

Difficulty

Beginner

Style

Real Case

BAIN & COMPANY 

Problem definition

LubricantsCo, a very successful Asian **premium producer** of **lubricants** in their native region, would like to further **increase** their **revenue and profit**. The product range ranges from **lubricants** in the **automotive sector** (e.g. motor and gear oil) to **industrial applications** (e.g. fats, heavy-duty oils).

According to preliminary examinations, further **growth potentials** in the **Asian core market** are rather **limited**. Thus LubricantsCo would like to investigate options to **internationalize** in the passenger car business – also outside the premium segment which is given priority.

Therefore your **consulting firm** was instructed to elaborate a **market entry strategy** for the **European market**.

Comments

The case has two **project phases**:

Project **phase 1** aims at **prioritizing** a test market within Europe and its neighbouring countries with the help of a structured **selection process** on the basis of typical evaluation criteria.

During project **phase 2** the interviewee should - based on **qualitative** standards and on the basis of relevant dimensions - **outline** a possible **market entry strategy** for the **market**, which has been prioritized during phase 1.

Short Solution

- **Turkey** is the **most attractive** and at the same time the **most promising market** and should therefore be selected as test market.
- The **products** should focus on **motor- and gear oil**.
- The production should take place in turkey.
- **Set-up** of a **key account management division** for automobile manufacturers and garages (chains and local, private garages).
- Set-up of a **reliable premium brand** on the basis of a **cooperation** with an existing international OEM-client in order to win him as lead client for Turkey.
- The **pricing strategy** should be **adjusted** to the **upper price segment** of the Turkish market.

Paragraphs highlighted in green indicate diagrams or tables that can be shared in the “Case exhibits” section.

Paragraphs highlighted in blue can be verbally communicated to the interviewee.

The following framework/structure would be a good approach for the problem at hand:

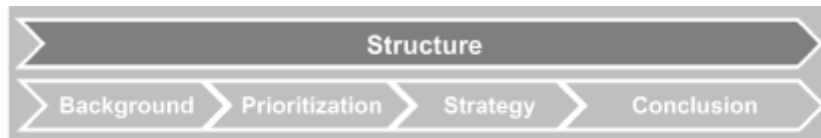


Diagram 1 – Case Structure

I. Background

At this point the interviewee should **understand the situation** and structure the **problem solving strategy**.

Information that can be shared if inquired:

- Project **phase 1** aims at **prioritizing** a test market within Europe and its neighbouring countries with the help of a structured **selection process** on the basis of typical evaluation criteria.
- **Germany, Turkey** and **Russia** can be **internally** chosen.
- In order to **identify** the test market that is the most appropriate for LubricantsCo, the **two** typical dimensions **market attractiveness** and **probability of success** should basically be analysed.
- **Market attractiveness** is composed of the following dimensions:
 - **Market size**
 - **Market growth**
 - **Market profitability**
- The **prioritization** of a test market as well as the relevant dimensions of a **market entry strategy** should be **summarized** in a convenient design for the **discussion** with the management board of the client.

II. Prioritization

At this point the interviewee should locate the **test market**. To do so the interviewee needs to **determine market attractiveness with the help of market size and profitability**.

Share **table 1** about a market review with the interviewee.

Market size

In **Germany** each of the approximately **40 million households** has on average **one car**. This corresponds to a stock of approximately 40 million cars and accordingly a **density** of **500 cars per 1.000 inhabitants** (population: 80 m.).

$$\text{Market size} = \text{car density} * \text{population} * \frac{\text{lubricant consumption per car}}{\text{year}}$$

$$\text{Germany} = \frac{500}{1.000 \text{ inhabitants}} * 80 \text{ Mill. inhab.} * \frac{3\text{kg}}{\text{year}} = \mathbf{120.000t}$$

$$\text{Russia} = \frac{200}{1.000 \text{ inhabitants}} * 145 \text{ Mill. inhab.} * \frac{6\text{kg}}{\text{year}} = \mathbf{174.000t}$$

$$\text{Turkey} = \frac{250}{1.000 \text{ inhabitants}} * 75 \text{ Mill. inhab.} * \frac{6\text{kg}}{\text{year}} = \mathbf{112.500t}$$

Market growth

Information that can be shared if inquired:

- **Russia** and notably **Turkey** are countries with a relative **high market growth** compared to Germany.
- This information can be used to **estimate** the **market growth** of **car oils**, since **more motor oil** will be used in **growing economies** in the future.
- **Russia** and **Turkey** also have a **growing market** of **premium motor vehicles**.

Market profitability

Information that can be shared if inquired:

- **Profitability cannot** be calculated **directly**, since no data is available.
- **Germany and Russia:**
 - **High intensity of competition**
 - **Low profitability**
- In **Russia** the percentage of old vehicles is higher than in Turkey. The **profitability** is lower than Turkey, since used **motor oils** generate **barely any margins** for old vehicles.
- Due to **growing demand** of **high-quality oils** as well as moderate **competitive conditions**, **Turkey** has the **highest qualitative profitability**.

Main conclusion

The interviewee should set up a **comparison matrix**.

Share **table 2** with a template with the interviewee. Share **table 3** with the solution if the interviewee has difficulties with the task or has already set up the matrix.

Chart 2 shows an overview of the analysis.

It becomes obvious that **Turkey** is the **most promising** market and should therefore be selected as **test market**. **Germany** drops back due to **low growth**, **Russia** due to the **difficult competitive environment** and structural **disadvantages**.

III. Strategy

Here the interviewee should set up a possible **strategy** for the market in Turkey. The 5 classic dimensions of a how-to-win **strategy** should be addressed:

- Product
- Production / Supply Chain
- Channels of distribution
- Brand
- Price

Information that can be shared if inquired:

Product

- The **product range** that is offered in the domestic market ranges from **lubricants** in the automotive sector (e.g. motor and gear oil) to **industrial special oils and fats**.
- There are **high regulatory** guidelines for individual products for the European market.

Production / Supply Chain

- In a best case scenario, LubricantsCo continues to produce its **lubricants** in **Asia** only and **transports** them to **Turkey**.
- In this case they can, on the other hand, only react very **slowly** to local **fluctuations in demand** in Turkey or they need to have **large stocks**.

Channels of distribution

- The sale of lubricants to **automobile manufacturers (OEMs)** for the **first fill** during production is an important **channel**.
- Another channel are the **numerous chains of workshops**, which **sell a large amount** of motor oils to car owners.
- Furthermore there are **smaller local workshops**.
- An additional **channel of distribution** are **gas stations**, which, however, only offer their own brands (e.g. Shell).

Brand

- In order to lend the **marketing campaign** the necessary credibility and to emphasize the **attractiveness** of the brand from the beginning, an **important automobile OEM** should be **won** as so-called **lead customer** for the Turkish market.
- Next to the **B2C-marketing**, the B2B-marketing on the lubricant market also has however a very **important role** including for example **workshops**.

Price

- LubricantsCo presents itself as **premium supplier** in **Asia** and wants

to **pursue** this **strategy** in Turkey.

Main conclusion

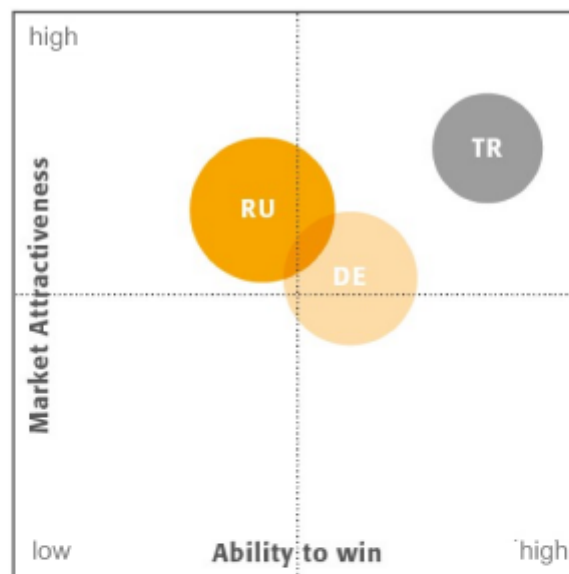
- **Product:** In order to keep the complexity to a minimum, you recommend LubricantsCo to focus on **motor and engine oils** for the **market entry phase**, since this product domain not only represents the **largest volume** of the Turkish market, but also promises profit margins **above average**.
- **Production:** As soon as you **calculate** the **costs** for transportation and stock-keeping you will realize that **production** in Asia for the **Turkish market** no longer makes sense – also if only **small amounts** are produced. As the market entry in Europe should not continue to be in a subcritical domain, you suggest a **local production** which will be supported by the smaller production costs in Turkey compared to other European countries.
- **Distribution:** **OEMs** generally have a preferred or **exclusive supplier** who covers a **large part** of the volumes. However, this **channel** is very **important** for the **branding** and for this reason for the **perception** of the end customer. Consequently, the OEM channel has significant **impacts** on the business in the **aftermarket** which is dominant in terms of volume. Not only does the **value** of an **oil brand** grow by connecting it with a popular **car brand**, but it is also **easier** to win the **authorised workshops** of these OEM contract customers as **customers** – at much **higher margins**.
- **Brand:** In order to win a **lead client**, negotiations should commence with **AsiaAutoCo**, a **client** who has been successfully **supplied** on the Asian market over the past **years** and who is already **active** on the **Turkish market**. An essential **component** for the success in the B2B area is to **convince** the **mechanics** in the workshops. This will be guaranteed by the **quality** and intense **customer relations** with the help of the **Key Account Manager** as well as the local **sales team**.
- **Price:** That is why the **price strategy** should be adjusted to the **upper segment** of the Turkish market. This strategy will be supported by the planned partnership with AsiaAutoCo and the high quality product offer for the premium as well as the middle quality segment.

IV. Conclusion

The interviewee should draw a conclusion from the analysis:

- **Turkey** is the most the **most promising market** and should therefore be chosen as **test market**.
- The **dimensions** product, production, channels of distribution, brand and price strategy should be analysed more closely for the **market entry strategy**.

Market analysis



- 1 Do we have the right product for the Turkish market?
- 2 How to structure production and supply chain?
- 3 Which distribution channels should be used?
- 4 How do we position ourselves in the market for our target consumers?
- 5 Which pricing strategy promises the most sustainable profitability?

Diagram 2 – Market analysis

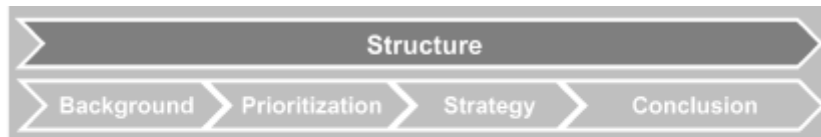


Diagram 1 – Case Structure

Market overview

	Germany	Russia	Turkey
Car Density		200	250
Annual Lubricant Consumption	3	6	6
Competition	High	High	Low

Table 1 – Market overview

Comparison matrix

	Germany	Russia	Turkey
Market Size			
Market Growth			
Market Profitability			

Table 2 – Comparison Matrix

1 for loser

2 for second

3 for winner

in each category

Solved comparison matrix

	Germany	Russia	Turkey
Market Size	2	3	1
Market Growth	1	2	3
Market Profitability	2	1	3
Sum	5	6	7

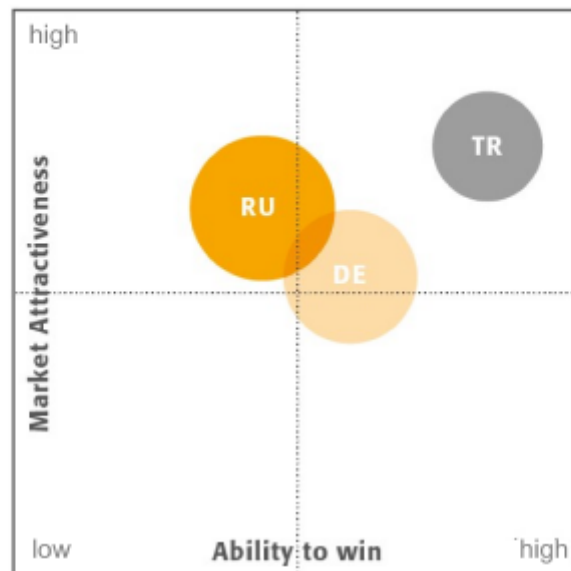
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Market analysis



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